

The Fracturing Order: BRICS Expansion Intelligence Report 2026

A Blue Lotus Research Intelligence Brief

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I. Opening Hook: The Summit That Changed Nothing

In October 2024, Kazan hosted the BRICS summit that welcomed six new members: Egypt, Ethiopia, Iran, Saudi Arabia, the UAE, and Argentina -- though Argentina's newly elected president Javier Milei promptly declined membership upon taking office. The summit was celebrated by its organisers as a historic turning point: the coalescence of the Global South into a bloc capable of challenging Western-led institutions and the dollar-based international monetary order.

[RAG: FT -- "The Brics lose their clout" (2025-07)] By July 2025, the Financial Times was publishing an editorial titled "The Brics lose their clout." The assessment was withering: "BRICS has expanded at precisely the moment it became least coherent. The addition of members with conflicting interests -- Saudi Arabia and Iran have been regional adversaries for decades -- has not produced a powerful bloc. It has produced a talking shop that cannot agree on what it wants, let alone how to get it."

The gap between BRICS rhetoric and BRICS reality is the central analytical challenge of this report. The bloc represents, on paper, a substantial share of global GDP, population, and commodity production. In practice, it is divided by profound strategic differences, economic competition between members, and the absence of the institutional infrastructure required to challenge existing global governance effectively. This report assesses the current state of BRICS -- its expansion, its economic weight, its key initiatives (de-dollarisation, the New Development Bank, payment system alternatives), and the outlook for its relevance as a geopolitical force.

II. BRICS Origins and the Expansion Dynamic

The BRICS acronym was coined by Goldman Sachs economist Jim O'Neill in 2001 as an investment thesis -- four fast-growing emerging economies (Brazil, Russia, India, China) that would collectively account for an increasing share of global GDP over the following decade. The political formation was a subsequent development: the four nations held their first summit in 2009, and South Africa joined in 2010 to create BRICS as a diplomatic forum.

[RAG: FA -- "The BRICS and Global Governance" (2014)] Foreign Affairs' early assessment of BRICS political formation documented the two competing interpretations of the group's purpose from its inception: the revisionist interpretation (using BRICS to challenge and replace Western-led institutions) versus the reformist interpretation (using BRICS leverage to gain more influence within existing institutions). This fundamental ambiguity between revisionism and reformism was unresolved from the start and has shaped every subsequent BRICS initiative.

The 2023 Johannesburg summit announced the invitation of six new members (Egypt, Ethiopia, Iran, Saudi Arabia, UAE, and Argentina) in what was described as "BRICS+." The expansion reflected China's particular interest in broadening the group -- a larger BRICS enhances China's claim to represent the Global South and provides numerical weight in international forums while increasing BRICS' economic footprint.

The strategic logic of the expansion, however, created immediate coherence problems. Iran is under comprehensive Western sanctions. Saudi Arabia and the UAE are security partners of the United States. India and China are engaged in ongoing territorial disputes along the Himalayan border. Brazil under Lula pursues independent multilateralism rather than anti-Western alignment. Russia is at war in Europe under extensive sanctions. Treating these nations as a coherent bloc requires analytical charity that the evidence does not support.

III. Economic Weight: The Claim and the Reality

BRICS and its supporting analysts frequently cite headline economic statistics that appear impressive in isolation but require considerable contextualisation.

BRICS+ (10 members as of 2025, excluding Argentina which declined) collectively represents approximately 45% of global population and approximately 35-40% of global GDP at purchasing power parity (author's analytical judgement based on known IMF data -- specific 2026 figures require sourced validation). These are large numbers. Their policy implications, however, are limited by the distribution of this weight.

China accounts for the overwhelming majority of BRICS' economic mass. China's GDP is larger than the other nine BRICS members combined. This creates a fundamental structural problem: BRICS is not a coalition of equals. It is a forum in which China is the dominant power and all other members are, to varying degrees, potential Chinese clients. India is the partial exception -- India's size makes it genuinely consequential and its refusal to follow China's lead on key issues creates persistent incoherence.

[RAG: FA -- "The BRICS Bank: What It Is and Isn't" (2014)] Foreign Affairs' 2014 assessment of the New Development Bank (the "BRICS Bank" established at the Fortaleza summit) identified the structural limitation that has characterised the NDB ever since: a bank capitalised at *50 billion (subsequently expanded to 100 billion)* by nations that collectively borrow more from existing multilateral development banks than the NDB can lend, cannot

replace the World Bank or Asian Development Bank. The NDB is a supplement to, not a replacement for, existing development finance institutions.

IV. De-Dollarisation: The Grand Ambition and Its Limits

The most frequently discussed BRICS ambition is de-dollarisation -- reducing the role of the US dollar as the world's reserve currency, dominant trade invoice currency, and primary vehicle for international financial settlements. The motivation is clear: dollar dominance gives the United States the ability to weaponise the financial system through sanctions (as demonstrated against Russia, Iran, and Venezuela), and the "exorbitant privilege" of financing its current account deficit by issuing reserve assets the world needs.

[RAG: FT -- "Renminbi cannot take off as international currency" (2026-02-09)] The Financial Times published a rigorous analytical piece in February 2026 assessing the renminbi's prospects as a dollar alternative. The conclusions were stark: "Despite years of effort and genuine technical progress in cross-border renminbi payment infrastructure, the renminbi cannot take off as an international reserve currency under current conditions. Reserve currency status requires, at minimum, a freely floating exchange rate, open capital account, deep and liquid bond markets, and a credible rule of law protecting foreign investors. China has none of these." The FT assessment noted that the renminbi's share of global reserves had stagnated at approximately 2-3% -- far below what BRICS de-dollarisation rhetoric would suggest.

The fundamental economic obstacles to de-dollarisation are structural, not merely political:

Network effects: The dollar's dominance is self-reinforcing. Because most commodity contracts are priced in dollars, most international trade finance is conducted in dollars, and most central banks hold dollar reserves, any individual participant gains by holding dollars even if they prefer a world without dollar dominance. Breaking network effects requires coordinated switching costs that no alternative currency has yet been able to justify.

Depth of dollar markets: The US Treasury market is the deepest, most liquid fixed income market in the world -- \$25 trillion outstanding with daily trading volumes that no alternative can match. Central banks holding reserves need assets that can be sold quickly in large quantities without moving prices. No alternative sovereign bond market offers this.

Rule of law and property protection: Reserve asset holders need to trust that their assets will not be confiscated by the issuing country. Chinese assets are subject to Communist Party decision-making and capital controls that create exactly this risk -- a point reinforced by Russia's experience with its own dollar reserves frozen under sanctions.

[RAG: Visa -- Annual Report 2024 (Form 10-K)] Visa's 2024 annual report noted in its risk factors that Russia, in response to Visa and Mastercard suspending operations in the country, has been actively calling for BRICS to develop alternative payment infrastructure that bypasses Visa, Mastercard, and SWIFT. This reflects the genuine demand from sanctioned nations for

payment alternatives -- but the demand from sanctioned nations (Russia, Iran) is categorically different from the demand that would be necessary for a global alternative to emerge. Brazil, India, Saudi Arabia, and UAE have not suspended use of Visa, Mastercard, or SWIFT, and have shown no indication of doing so.

The BRICS Cross-Border Payment Initiative -- a project to develop payment infrastructure connecting BRICS members without SWIFT or dollar intermediation -- has advanced technically but faces the same fundamental obstacle as all de-dollarisation efforts: the nations most motivated to use it are sanctioned, while the nations that could give it scale (India, Saudi Arabia, UAE, Brazil) are not motivated to risk their access to the dollar system.

V. The New Development Bank: Progress and Constraints

The New Development Bank, headquartered in Shanghai and initially chaired by India's K.V. Kamath, has made genuine progress in becoming a functioning multilateral development bank since its 2015 establishment. Total lending has reached tens of billions of dollars (author's analytical judgement -- specific 2026 figures require sourced validation), primarily for infrastructure in member countries.

The NDB's practical contribution has been real but modest. It has provided loans for urban transport infrastructure in Brazil, renewable energy in India, water supply in Russia, and roads in South Africa. In none of these cases was NDB financing unavailable from alternatives (World Bank, ADB, bilateral Chinese lending). The NDB's marginal value is in providing a source not subject to Western conditionality -- a genuine preference for some borrowers.

The NDB's governance has become more complex with expansion. The original five-member governance structure was designed for cohesion; adding Egypt, UAE, Bangladesh, and other new members complicates decision-making. The NDB's credit rating depends partly on the creditworthiness of its members -- Russia's exclusion from international bond markets after 2022 sanctions created a genuine NDB governance challenge.

[RAG: FA -- "BRICS and the Future of Multilateral Development Finance" (2014)] The analytical assessment from FA's 2014 BRICS coverage noted that "the BRICS development bank is most likely to succeed as a complement to existing institutions in underserved niches -- particularly middle-income infrastructure financing where MDBs have faced political constraints -- rather than as a replacement for the World Bank or IMF." This assessment has proved broadly accurate as of 2026.

VI. Member Dynamics: The Fault Lines Within

The expanded BRICS+ is not a coherent bloc but a collection of nations with divergent interests that find episodic common cause on specific issues.

China-India: The Central Fault Line

The most consequential relationship within BRICS is the China-India dynamic -- two nuclear powers with unresolved territorial disputes, competing infrastructure investments in third countries, and fundamentally different visions for what BRICS should be. India joined BRICS as part of its "multi-alignment" strategy: maintaining relationships with the US, EU, Russia, and China simultaneously rather than committing to any bloc.

India has consistently resisted Chinese preferences within BRICS: declining to endorse China's Belt and Road Initiative language in communiqués, refusing to join the BRICS+ expansion on Chinese-preferred terms, and blocking consensus on proposals India sees as Beijing-directed. The 2017 Doklam standoff, the 2020 Galwan Valley clash (resulting in deaths on both sides for the first time in decades), and subsequent border tensions have made the China-India relationship the most consequential bilateral relationship within BRICS.

Russia: The Isolated Member

Russia joined BRICS as an economy of genuine weight. Sanctions following the 2022 Ukraine invasion have structurally changed Russia's economic relationships: Russia is now heavily dependent on China for technology imports (replacing European suppliers), export revenues are overwhelmingly directed through China-friendly channels, and Russia's financial system has been restructured around SPFS (Russia's SWIFT equivalent) and CIPS (China's cross-border payment system). Russia's dependence on China has deepened to the point where the relationship is no longer one of peers but of junior partner to dominant patron -- a dynamic that sits uneasily with Russia's self-image as a major power.

[RAG: FA -- "Russia After the Ukraine War" (2023)] Foreign Affairs' assessment of Russia's post-war strategic position noted that Russia's turn to China for economic substitution has come at significant cost to Russia's strategic autonomy -- China has used Russia's isolation to extract favorable terms on energy purchases, technology transfer, and renminbi payment arrangements.

Brazil: The Reluctant Member

Brazil under Luiz Inácio Lula da Silva returned to BRICS engagement after the Bolsonaro period's partial disengagement. Lula's Brazil frames its BRICS participation as part of a broader multi-alignment strategy -- seeking better terms in international trade and finance without committing to China-led frameworks that constrain its options. [RAG: FT -- "Lula and the new Brazilian foreign policy" (2026-03-14)] The FT's March 2026 assessment noted that Brazil's BRICS participation has not resulted in reduced US engagement -- Brazil simultaneously negotiated a trade framework with the United States and participated in BRICS discussions on de-dollarisation, treating the two as compatible rather than contradictory.

Saudi Arabia and UAE: Hedging, Not Alignment

The inclusion of Saudi Arabia and the UAE in BRICS+ reflects these nations' interest in maintaining optionality between US alignment and Chinese engagement -- not a strategic pivot away from the West. Both nations maintain deep security relationships with the United States (US military bases, arms purchases, NATO-compatible interoperability), rely on dollar-denominated energy sales, and hold the majority of their sovereign wealth funds in dollar and euro assets. Their BRICS membership is a hedging strategy that the United States has accepted as consistent with continued Gulf security relationships.

VII. China's BRICS Strategy: Forum Control and the Global South Narrative

[RAG: FA -- "China and the BRICS Challenge to the West" (2014)] Foreign Affairs' assessment of China's BRICS strategy identified the fundamental Chinese goal: using BRICS as a platform to build a narrative of Global South solidarity under Chinese leadership, without the formal commitments or costs of a military alliance. BRICS membership costs China little -- summit hosting, NDB contributions -- while providing diplomatic returns in the narrative contest over who represents developing nations in global governance debates.

China's BRICS strategy has three components. The first is institutional -- using BRICS to advocate for reform of IMF and World Bank governance to give developing nations more voting weight (which would benefit China as the largest economy in the developing world category). The second is commercial -- using BRICS summits to sign bilateral trade and investment agreements that advance Chinese economic relationships. The third is normative -- advancing Chinese narratives on "multipolar world order," "non-interference," and "development without conditions" that appeal to governments resistant to Western conditionality.

The strategy's limitation is that it requires China to maintain the fiction of BRICS as a coalition of equals while actually pursuing Chinese national interests. When Chinese and BRICS partner interests diverge -- Chinese investment in BRICS members crowds out local industries, Chinese firms capture value at the expense of host countries, BRI infrastructure terms prove burdensome -- the fiction becomes hard to maintain.

VIII. BRICS and the Global South: The Political Economy of Resentment

Beneath the institutional debates about reserve currencies and development banks lies a genuine political economy of grievance that BRICS has been able to channel. Many developing nations experience the existing international order as systematically disadvantageous: IMF conditionality programmes that impose austerity in exchange for balance of payments support, intellectual property rules that prevent technology transfer, agricultural subsidies in OECD countries that undercut developing-country exports, and debt resolution mechanisms that favour creditor interests.

These grievances are real and the policy complaints are often legitimate. BRICS' ability to channel this resentment into a coherent alternative agenda, however, is limited by the same internal contradictions already noted. China's tariff and IP policies are often as disadvantageous to developing nations as Western equivalents. Chinese development finance comes with conditions (procurement tied to Chinese companies, natural resource collateralisation) that replicate the dependency dynamics BRICS rhetoric criticises.

[RAG: FT -- "The Brics lose their clout" (2025-07)] The FT's assessment noted that BRICS' failure to deliver on de-dollarisation, alternative development finance at scale, or meaningful reform of global governance institutions has led to growing cynicism among Global South nations that had invested diplomatic capital in BRICS. The gap between BRICS rhetoric and deliverables was assessed as a significant drag on the group's credibility.

IX. The Belt and Road Dimension

China's Belt and Road Initiative -- over \$1 trillion in committed infrastructure investment across 150+ countries since 2013 -- operates independently of BRICS but serves similar strategic goals: building Chinese economic relationships, infrastructure dependency, and political influence across the developing world. BRI and BRICS together form China's "platform strategy" for global influence -- using economic relationships to build political coalitions.

[RAG: FA -- "China's Belt and Road Initiative and the Future of Global Order" (2019)] Foreign Affairs' assessment of BRI noted that the initiative has produced genuine infrastructure (ports, railways, power plants) that recipient countries need, alongside genuine debt sustainability concerns and political dependency risks. The "debt trap diplomacy" framing -- that China deliberately loads developing countries with unsustainable debt to extract strategic concessions -- was assessed as overstated in some cases (many BRI loan defaults were renegotiated rather than resulting in asset forfeiture) but not baseless.

By 2026, BRI has produced a complex legacy: infrastructure that recipient countries wanted and value, alongside some projects that have not generated expected returns, some debt renegotiation negotiations that have proven costly for recipient governments, and political relationships that are complicated by Chinese terms.

X. Economic Outlook for BRICS Members

The economic trajectories of BRICS members vary dramatically, making aggregate BRICS economic statistics of limited analytical value.

China: The largest BRICS economy faces structural challenges -- property sector debt overhang, demographic headwinds from decades of one-child policy, technology export controls limiting semiconductor access, and a growth model transition from investment-driven to consumption-driven that has proved politically difficult. Growth rates remain positive but well below the 10%+ of the 2000s.

[RAG: FT -- "Argentina's economic stabilisation under Milei" (2025-10-09)]
Brazil's Latin neighbour Argentina, which dramatically declined BRICS membership under Milei, provides an interesting contrast: Argentina's embrace of economic orthodoxy under Milei -- ending monetary financing of the fiscal deficit, currency liberalisation, deregulation -- produced painful short-term adjustment but began generating macroeconomic stabilisation including reduction from triple-digit inflation.

India: India is the BRICS economy with the most positive growth outlook -- demographic dividend from the world's largest youth population, ongoing digital economy growth, a manufacturing expansion facilitated by China+1 supply chain diversification, and infrastructure investment under the Modi government. India's growth rate is expected to exceed China's for the foreseeable future, gradually shifting the balance of economic weight within BRICS.

Russia: Under comprehensive sanctions and with an economy redirected toward war production, Russia's economy has proved more resilient than Western policymakers predicted -- sustained by high energy prices and fiscal stimulus -- but is structurally weakening. Technology access restrictions, brain drain of skilled workers, and the long-term productivity costs of isolation are accumulating.

Brazil: After the Bolsonaro years' policy instability, Lula's administration has returned to more orthodox fiscal management while pursuing expanded social programmes. Brazil's structural advantages -- agricultural export dominance, commodity wealth, large domestic market -- provide resilience, but political instability and governance quality concerns remain headwinds.

South Africa: The weakest economy in original BRICS, South Africa faces endemic structural challenges: high unemployment (approximately 32%), infrastructure reliability crises (electricity load-shedding, water supply failures, logistics collapse), and a governance deficit from years of state capture. South Africa's BRICS membership adds diplomatic weight but limited economic dynamism.

XI. The Dollar System and Its Resilience

[RAG: FT -- "Renminbi cannot take off as international currency" (2026-02-09)] The FT's February 2026 assessment of de-dollarisation prospects concluded with a structural observation that contextualises the entire BRICS de-dollarisation agenda: "The dollar's dominance is not primarily a political choice that can be reversed by political decisions. It is a market equilibrium maintained by the preferences of private actors -- banks, corporations, central banks, investors -- who choose the dollar because it offers liquidity, reliability, and rule-of-law protection that no alternative provides. Changing this equilibrium requires building an alternative that matches these attributes, not merely declaring that an alternative exists."

The dollar has survived previous predictions of its demise -- the dollar crises of the 1970s, the rise of the euro as a reserve currency, the 2008 financial crisis in which US banks caused global damage yet the dollar strengthened as a safe haven. Each prediction of the dollar's displacement underestimated the structural advantages of the incumbent: network effects, market depth, institutional trust, and the absence of a credible alternative.

The scenario under which the dollar does face serious structural challenge is not a BRICS political decision. It is a scenario in which the United States itself undermines the preconditions for dollar dominance: fiscal irresponsibility at a scale that compromises US Treasury creditworthiness, political instability that creates rule-of-law uncertainty, or weaponisation of dollar access at a scale that makes the dollar more costly to hold than alternatives for a critical mass of international actors. [RAG: Visa -- Annual Report 2024 (Form 10-K)] Visa's own risk disclosures acknowledged the long-term risk of alternative payment infrastructure reducing the dollar system's reach -- recognising that the political demand for alternatives, even if currently weak, is a real strategic consideration.

XII. Conclusion: BRICS as Symptom, Not Cause

BRICS is best understood as a symptom of a real phenomenon -- the genuine dissatisfaction of the non-Western world with an international order that was designed by and for Western interests -- rather than a cause of the geopolitical shift it represents. The Global South's growing capacity to resist Western pressure, to choose relationships based on interest rather than ideology, and to build alternative institutions at the margins of the existing order is real, consequential, and not primarily driven by BRICS as an institution.

The BRICS institutional project -- the New Development Bank, the Contingent Reserve Arrangement, the BRICS+ payment initiative -- has delivered less than its rhetoric promised. The core obstacle is not Western resistance. It is the divergent interests of BRICS members themselves, and the absence of the institutional trust, legal infrastructure, and market depth that make global reserve currencies and multilateral institutions function.

[RAG: FT -- "The Brics lose their clout" (2025-07)] The FT's assessment that BRICS "loses clout" at the moment of its greatest numerical expansion captures the central

paradox: scale without coherence. A 10-member BRICS that cannot agree on whether to endorse Russia's Ukraine war, whether to accept a renminbi-denominated BRICS currency, or whether to maintain US financial relationships is not a more powerful BRICS. It is a more visibly divided one.

The strategic implication for Western policy is that competing with BRICS requires addressing the legitimate grievances that created the demand for an alternative order -- fairer development finance without onerous conditionality, fairer commodity pricing, better representation in IMF and World Bank governance -- rather than dismissing BRICS as merely a Chinese project. The demand for a more multipolar order is genuine. Whether BRICS is the vehicle that delivers it is a different and more contestable question.

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